

# **MENTORSHIP WITH ASTA**

**THE JOURNEY FROM  
PASSION**



**TO**



**PROFESSION**

**PIVOTS & CPR**

# PIVOTS

Pivots are extremely powerful price-based support and resistance levels that are calculated using a prior period's high, low, and close.

$$R4 = R3 + (R2 - R1)$$

$$R3 = R1 + (High - Low)$$

$$R2 = Pivot + (High - Low)$$

$$R1 = 2 \times Pivot - Low$$

$$TC = (Pivot - BC) + Pivot$$

$$Pivot = (High + Low + Close)/3$$

$$BC = (High + Low)/2$$

$$S1 = 2 \times Pivot - High$$

$$S2 = Pivot - (High + Low)$$

$$S3 = S1 - (High - Low)$$

$$S4 = S3 - (S1 - S2)$$

Like the Moon, the Central pivot range controls the tides of the market.

Playing the bounces off the central pivot range in the direction of a prevailing trend is a prudent course of action.

# PIVOTS



# PIVOTS



# PIVOTS



# PIVOTS USAGE

How to follow old adage “Buy at support in an uptrend and sell at resistance in a downtrend” in market? i.e. buy the dips in uptrend and sell the bounces in a downtrend.

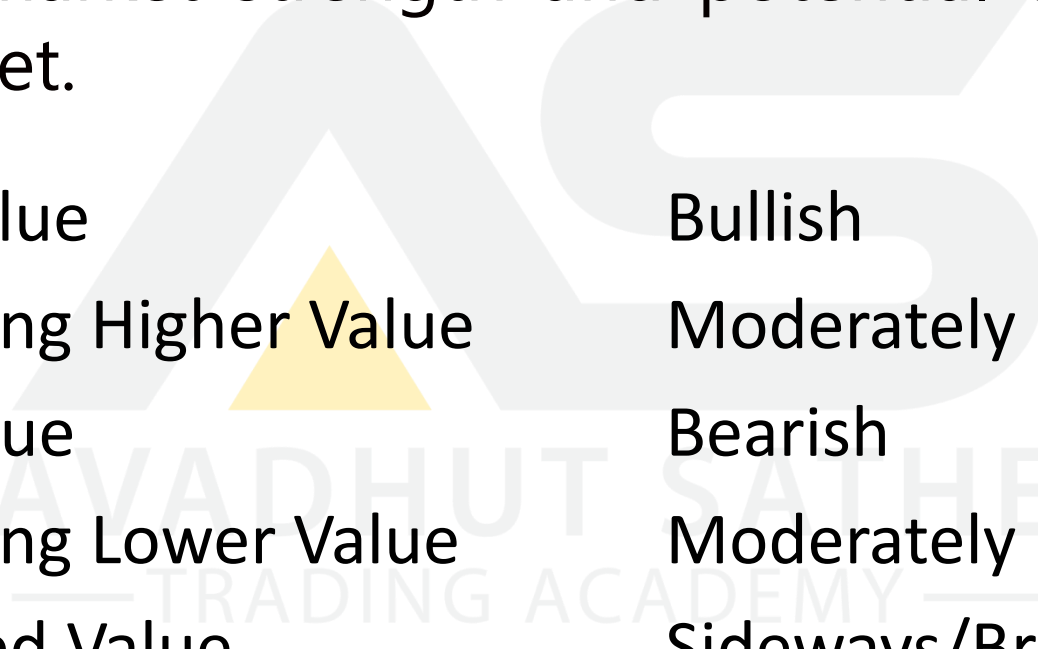
Focus your attention on two key buying or selling zones, S1 and the Central pivot range in an uptrend, and R1 and the Central pivot range in a downtrend.

Filtering the pivots in this manner forces you to become disciplined to the trend, which increases your chances for a profitable outcome.



# TWO-DAY PIVOT RANGE RELATIONSHIPS

There are seven types of pivot range relationships that should be considered when analyzing the current market strength and potential direction of the market.



|                          |                    |
|--------------------------|--------------------|
| Higher Value             | Bullish            |
| Overlapping Higher Value | Moderately Bullish |
| Lower Value              | Bearish            |
| Overlapping Lower Value  | Moderately Bearish |
| Unchanged Value          | Sideways/Breakout  |
| Outside Value            | Sideways           |
| Inside Value             | Breakout           |



# HIGHER VALUE RELATIONSHIP

Higher Value relationship occurs when the current day's pivot range is completely higher than the prior day's pivot range.

This is the most bullish relationship of the seven two-day combinations. Therefore, when this relationship develops, your initial directional bias would be bullish.

Market should open above bottom central pivot or preferably above top central pivot. Look to buy pull-back to the pivot range. If market opens below bottom central pivot, it could be very bearish.

# HIGHER VALUE RELATIONSHIP



# HIGHER VALUE RELATIONSHIP



# HIGHER VALUE RELATIONSHIP - REVERSAL



# LOWER VALUE RELATIONSHIP

Lower Value relationship occurs when the current day's pivot range is completely lower than the prior day's pivot range.

This is the most bearish relationship of the seven two-day combinations. Therefore, when this relationship develops, your initial directional bias would be bearish.

Market should open below top central pivot or preferably below bottom central pivot. Look to sell rallies to the pivot range. If market opens above top central pivot, it could be very bullish.

# LOWER VALUE RELATIONSHIP





# LOWER VALUE RELATIONSHIP - REVERSAL





## OVERLAPPING HIGHER VALUE RELATIONSHIP

Overlapping higher Value relationship occurs when the current day's pivot range is higher than yesterday's range, but overlaps to some degree. i.e. the top of the pivot range is higher than the top of yesterday's range, but the bottom of the range is lower than the top of yesterday's range.

This is the moderately bullish relationship. If the market closes above its pivot range in the prior session, your directional bias would be bullish for next day. However, where the market opens in the following session with either reject or accept this directional bias. Any pull-back to Pivot range would be good buying opportunity.

# OVERLAPPING HIGHER VALUE RELATIONSHIP



## OVERLAPPING LOWER VALUE RELATIONSHIP

Overlapping lower Value relationship occurs when the current day's pivot range is lower than yesterday's range, but overlaps to some degree. i.e. the low of the pivot range is lower than the bottom of yesterday's range, but the top of the range is higher than the bottom of yesterday's range.

This is the moderately bearish relationship. If the market closes below its pivot range in the prior session, your directional bias would be bearish for next day. However, where the market opens in the following session with either reject or accept this directional bias. Any rally to Pivot range would be good selling opportunity.

# OVERLAPPING LOWER VALUE RELATIONSHIP



# UN-CHANGED VALUE RELATIONSHIP

The two-day Unchanged Value relationship occurs when the current pivot range is nearly unchanged from the prior day's range. This relationship can have two different outcomes.

1. The market may trade quietly within the boundaries of the existing two or three day trading range.
2. The market may be on the verge of a major breakout opportunity.

# UN-CHANGED VALUE RELATIONSHIP

The outcome of this relationship is typically driven by the opening price of the current session.

If the market opens the day near the prior session's closing price and well within the prior day's range, the market would likely lack the conviction necessary for a breakout attempt and may be rangebound.

If the opening price is beyond the prior day's price range, or very close to an extreme, the chances are good that a breakout opportunity may lie ahead.

# UN-CHANGED VALUE RELATIONSHIP



# OUTSIDE VALUE RELATIONSHIP

The Outside Value relationship occurs when the current day's pivot range completely engulfs the prior day's pivot range. This two-day relationship typically implies sideways or trading range activity.

These days are generally good for trading strangles and straddles.

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—TRADING ACADEMY—





# INSIDE VALUE RELATIONSHIP

The Inside Value relationship occurs when the current day's pivot range is completely inside the prior day's range.

This two-day relationship typically implies a breakout opportunity for the current session, as the market is likely winding up ahead of a breakout attempt. If the market opens the day beyond the prior day's price range, there is a very good chance of follow-up in the breakout direction.

# INSIDE VALUE RELATIONSHIP



# PIVOT WIDTH FORECASTING

The width of the central pivot range is very useful for forecasting potential price behavior for the following session.

Typically, an extremely tight central pivot range indicates the market traded sideways or consolidated in the prior period of time. As such, this price behavior usually leads to breakout or trending behavior in the following session.

Conversely, an extremely wide central pivot range indicates the market experienced a wide range of movement in the prior day, which usually leads to sideways or trading range behavior in the following session.

# PIVOT WIDTH FORECASTING



# PIVOT WIDTH FORECASTING



**Aim Higher...<sup>TM</sup>**  
**You can Achieve it!**

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